

BOARD OF THE CBA

MINUTES

(14.08.2018)

On the Refinancing Rate

The CBA Board Meeting of August 14, 2018 attended by Chairman Arthur Javadyan, Deputy Chairman Nerses Yeritsyan, and Board Members Ashot Mkrtchyan, Arthur Stepanyan, Armenak Darbinyan and Oleg Aghasyan

The Board meeting opened with presentation of the Situation Report as of August 14, 2018. It addressed current developments on inflation, external environment and real, fiscal and monetary sectors of the economy.

It was recorded that the 12-month inflation increased sharply in July 2018 after the reduction in May-June, amounting to 2.3% at the end of the month. The inflation behaved this way largely due to the change in prices of agricultural products, which, in turn, is explained by earlier demonstrated seasonality for harvest. In other words, as the prices in the groups “Fruit” and “Vegetable” reduced more than expected, the 12-month inflation rate has dropped in May-June by about 1.3 pp from its expected value, which was totally restored in the course of July. It should be noted that over that period, core inflation has gradually decreased, but it still remains at a relatively high level.

Addressing the economic situation, the Board stated that economic activity in the second quarter of 2018 was rather strong as well, although a certain weakening was observed in the meanwhile as the industry growth rates slowed down; in the last month of the quarter however, the economic activity rebounded owing to reported high growth in the processing industry and agriculture sectors. In view of these developments, the Central Bank revised both the second quarter and the end-year forecasts upside. The domestic demand persisted at a relatively high level in the second quarter too, driven largely by unprecedented high growth in private investment, while private consumption growth rates slowed down slightly, incurring the impact of a contractionary fiscal policy. The Board estimates that the latter will persist over the upcoming months, which, coupled with some slowing in high private investment growth rates, will diminish the impact on the domestic demand and prices.

The external sector developments were also addressed at the Board meeting: the global economic growth and the patterns in the world’s major commodity markets continued trending up. Under these conditions, the

central banks of the main partner countries keep on tightening their monetary conditions. At the same time, some countries of the region are seeing increased volatilities in the financial markets under trade restrictions and sanctions imposed by the United States. Nevertheless, the Board considers that it does not contain considerable risks to the Armenian financial market at present; however, if such risks show up, the Central Bank will react accordingly.

The Board referred to the developments in the domestic financial market: it stated that in the second quarter of the year short-term interest rates shaped primarily around the policy rate of the Central Bank, reflecting also the sustainability of the yields in the government bond market.

Following presentation of the Situation Report and the developments in external and domestic macroeconomic environments, the Board began addressing the monetary policy directions and making a decision on the interest rate. The Board considered only one option for setting the refinancing rate, and in expectation of a weak inflationary effect from the external sector in the near future and a non-inflationary (gradually slowing private demand and even a more contractionary fiscal policy) influence which prevails in the Armenian economy, the Board of the Central Bank decided to leave the refinancing rate unchanged, maintaining that the monetary policy should remain expansionary for the time being. In the event predicted macroeconomic developments unfold and existing risks are not materialized, the Board estimates that the expansionary monetary policy will be maintained **in the near future** while making sure it will gradually phase out in the medium run. As a result, **the 12-month inflation rate will fluctuate within the lower part of the confidence band in the upcoming period and will stabilize around the target in the medium run.**

The Board approved the decision on interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached hereto.

Deciding on the Interest Rate

CODE

050.0140 A. 14.08.18

August 14, 2018

No. 140 A

Interest Rates of Operations by the Central Bank of the Republic of Armenia in the Financial Market

By virtue of Article 20 (c) of the Republic of Armenia Law on the Central Bank, the Board of the Central Bank of the Republic of Armenia **enacts:**

1. Leave the refinancing rate of the Central Bank of the Republic of Armenia unchanged, at 6.0%.
2. To the Financial Department of the Central Bank of the Republic of Armenia to carry out operations in the financial market of the Republic of Armenia, using the interest rates, as follows:
 - 2.1 Lombard facility rate offered by the Central Bank to be 7.5%.
 - 2.2. Deposit facility rate offered by the Central Bank to be 4.5%.
3. This decision shall take force on the day following the adoption thereof.

Arthur Javadyan,

Chairman of the Central Bank

August 14, 2018

c. Yerevan

PRESS RELEASE
14.08.2018

At the August 14th of 2018 meeting, the Board of the Central Bank of Armenia (the CBA) decided to leave the refinancing rate unchanged, at the level of 6.0%.

There was 1.2% deflation in July of 2018 against that of 2.6% reported in the same month of the previous year, and the 12-month inflation rate somewhat increased, amounting to 2.3% at the end of the month. At the same time, core inflation reduced to some extent in July, still persisting at a relatively high level. The Board of the CBA considers that the 12-month inflation rate will approach the target in the upcoming months, fluctuating within the lower part of the confidence band.

In the external sector, trends for improving global economic growth continued and inflationary developments in international commodity markets are in line with such developments. As the Board of the CBA estimates, there has been an increase in financial market volatilities in a number of countries of the region amid the imposed US trade restrictions and sanctions, which currently does not contain significant risks for Armenia's financial markets; yet in the emergence of any risk, the CBA will react adequately.

The Board notes that economic activity in June of 2018 recovered owing to the accelerating growth in the processing industry and agriculture, following the slowdown at the beginning of the second quarter. The Board estimates that aggregate supply will gradually weaken due to the contractionary pace of fiscal policy, which is reflected in the considerable cost savings in relation to the planned ones.

Taking into account the expected developments – a slowdown in domestic demand and weak inflation environment in the outside world – the CBA finds it appropriate to maintain expansionary monetary conditions by leaving the refinancing rate at the current level. At the same time, in view of the anticipated macroeconomic developments and the absence of such risks, keeping the monetary environment expansionary in the forthcoming period too is important in terms of fulfillment of the inflation target, on condition that it gradually eliminates in the medium run. As a result, the expectation is that inflation will remain within the lower part of the confidence band, stabilizing around the 4% target at the end of the forecast horizon.

Should there be risks to economic growth outlook and to the inflation deviating from its recovery path, the CBA will adjust the monetary policy directions accordingly, while ensuring the price stability.

Detailed information that underlies the decision on setting of the interest rate will be available in Inflation Report (Monetary Policy Program, Q3, 2018), to be published by August 28, 2018.

.....
Press Service of the Central Bank of Armenia